Chainalysis

# The Crypto Tax Report

## Mapping Global Taxable Activity with On-Chain Data



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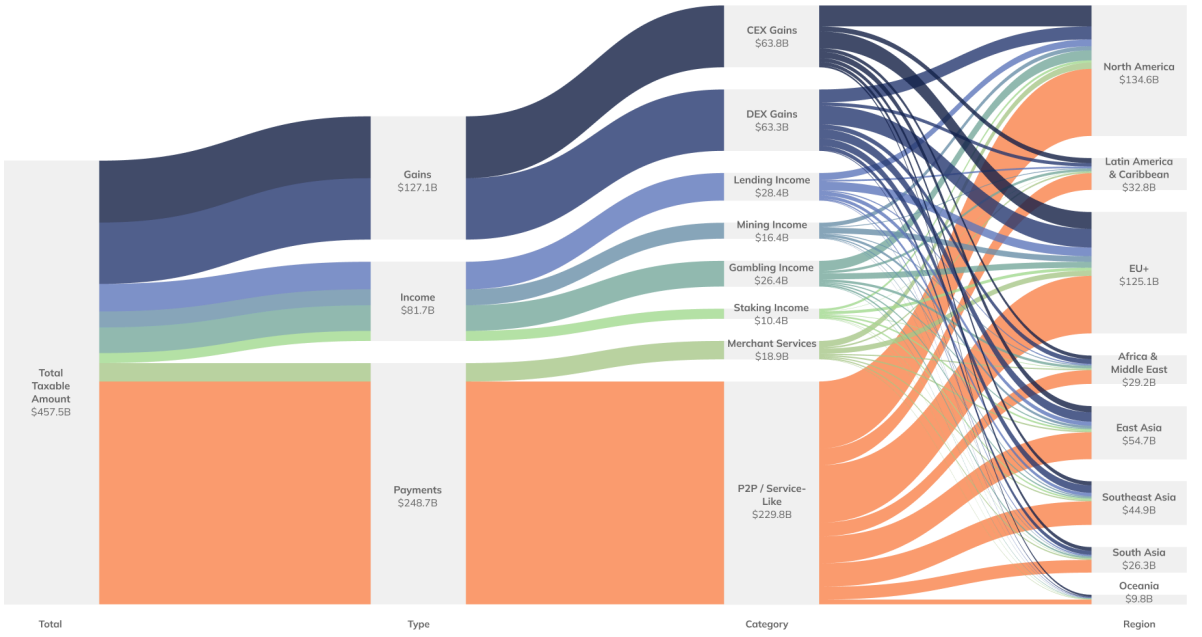
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# What Blockchain Data Tell Us About $457+ Billion in Potentially Taxable Crypto Activity

Crypto's growth over the past several years has fundamentally changed what "taxable activity" looks like. In 2025, the most recent complete year of data, on-chain taxable crypto flows — combining realized gains attributed to centralized and decentralized exchanges; income from mining, staking, lending and gambling; and crypto-denominated payments — reached $457 billion.

**Gains, Income, and Payments by Category and Region in 2025**

Estimated taxable crypto activity across exchanges, DeFi, mining, staking, gambling, and payments




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As the Sankey above illustrates, taxable on-chain activity can be treated as falling into three broad buckets: gains, income, and payments. These in turn can be divided into smaller categories: CEX and DEX gains; mining, staking, lending, and gambling income; and merchant services and P2P-like payments.

Each of these flows can then be attributed to geographic regions. North America leads with $134.6 billion in 2025, followed by the European Union ($125.1 billion) and East Asia ($54.7 billion). But absolute dollars are only one way to think about the stakes. Crypto taxable activity is also worth measuring relative to a country's existing tax base, and in that dimension, the picture changes.

## Top 15 Countries by Taxable Crypto Activity

| Country | Income | Gains | Payments | Total |
|---|---|---|---|---|
| United States | $17.9B | $30.1B | $64.6B | $112.6B |
| Germany | $2.4B | $6.1B | $15.6B | $24.1B |
| China | $2.2B | $4.9B | $13.9B | $21.0B |
| United Kingdom | $3.3B | $6.0B | $10.1B | $19.4B |
| India | $3.2B | $5.1B | $10.7B | $19.0B |
| Brazil | $3.1B | $4.3B | $8.6B | $16.1B |
| Canada | $4.9B | $3.3B | $6.9B | $15.1B |
| Japan | $2.8B | $4.2B | $6.1B | $13.2B |
| Russia | $4.3B | $4.9B | $3.7B | $13.0B |
| Thailand | $1.5B | $2.3B | $8.7B | $12.5B |
| South Korea | $2.0B | $3.2B | $5.6B | $10.9B |
| Indonesia | $2.6B | $3.6B | $3.9B | $10.1B |
| France | $1.7B | $2.5B | $5.2B | $9.4B |
| Australia | $1.5B | $2.5B | $4.9B | $8.9B |
| Viet Nam | $1.1B | $1.8B | $5.2B | $8.1B |

## Top 15 Countries by Crypto Share of Gov Deficit

| Country | Total | Gov Deficit | Crypto Share |
|---|---|---|---|
| Portugal | $2.0B | $1.0B | 201.05% |
| South Korea | $10.9B | $7.5B | 144.05% |
| Switzerland | $2.7B | $2.7B | 100.21% |
| Thailand | $12.5B | $15.9B | 78.62% |
| Greece | $830.8M | $1.2B | 67.15% |
| Belarus | $916.4M | $1.5B | 59.35% |
| Russia | $13.0B | $22.0B | 58.96% |
| Cambodia | $757.6M | $1.5B | 51.42% |
| Viet Nam | $8.1B | $16.3B | 49.63% |
| Ecuador | $757.6M | $1.7B | 45.70% |
| Philippines | $6.9B | $17.7B | 38.90% |
| Nigeria | $4.4B | $11.3B | 38.57% |
| Canada | $15.1B | $42.3B | 35.62% |
| Serbia | $850.8M | $2.5B | 34.36% |
| Venezuela (Bolivarian Republic of) | $1.4B | $4.0B | 34.35% |

Source: International Monetary Fund

## Top 15 Countries by Crypto Share of Gov Revenue

| Country | Total | Gov Revenue | Crypto Share |
|---|---|---|---|
| **Nigeria** | $4.4B | $35.5B | 12.31% |
| **Thailand** | $12.5B | $108.0B | 11.54% |
| **Cambodia** | $757.6M | $6.7B | 11.31% |
| **Georgia** | $932.8M | $9.3B | 10.01% |
| **Ukraine** | $6.8B | $69.3B | 9.83% |
| **Viet Nam** | $8.1B | $89.9B | 9.01% |
| **Venezuela (Bolivarian Republic of)** | $1.4B | $15.8B | 8.74% |
| **Yemen** | $132.6M | $1.6B | 8.55% |
| **Philippines** | $6.9B | $92.2B | 7.47% |
| **Republic of Moldova** | $414.8M | $6.2B | 6.69% |
| **Montenegro** | $225.3M | $3.4B | 6.60% |
| **Hong Kong** | $4.7B | $75.6B | 6.27% |
| **Kenya** | $1.1B | $20.0B | 5.62% |
| **Pakistan** | $3.2B | $56.7B | 5.56% |
| **Jordan** | $707.6M | $13.8B | 5.14% |

Source: International Monetary Fund

Especially in developing economies, taxable crypto activity is large enough to potentially increase total government revenue (before adjusting for actual taxation). In Nigeria, for example, total on-chain taxable activity in 2025 equaled $4.4 billion against the government's 2025 revenues of $35.5 billion. Other countries' taxable crypto activity is even larger than its deficit (again, before adjusting for actual taxation, if any)). That is the case in Portugal: it had $2.0 billion in taxable crypto activity in 2025, a sum 201.05%% larger than its government deficit for that year.

Of course, almost no country has a 100% tax rate or collects 100% of its theoretically taxable revenue — be it from crypto or any other source. But crypto taxes in particular go unpaid at very high rates based on public reports of different countries.

One press release from Sweden, for example, estimates that more than 90% of people didn't report their crypto activity. In the United States, press reports indicate that the "crypto tax gap," i.e., the difference between taxes paid and taxes owed on transactions involving crypto, was roughly $50 billion annually in 2022 — about 8% of the total tax gap for that year. This gap has begun to close with the introduction of Form 1099-DA (the IRS' form for reporting digital asset sales); congressional reports project it will generate $28 billion over 10 years. But like domestic information reporting reforms in other countries, the impact of purely domestic reforms is limited due to the ability of taxpayers to transact outside of their country of tax residence. This impact is particularly acute where countries introduce domestic information reporting and/or withholding.

## CARF: a meaningful step forward, but only part of the picture

To address the reported shortfalls of voluntary declarations of transactions involving crypto, the OECD released the Crypto-Asset Reporting Framework (CARF) in late 2022. The framework is designed to function as a risk detection tool, in some ways similar to the OECD's Common Reporting Standard (CRS) for traditional finance.

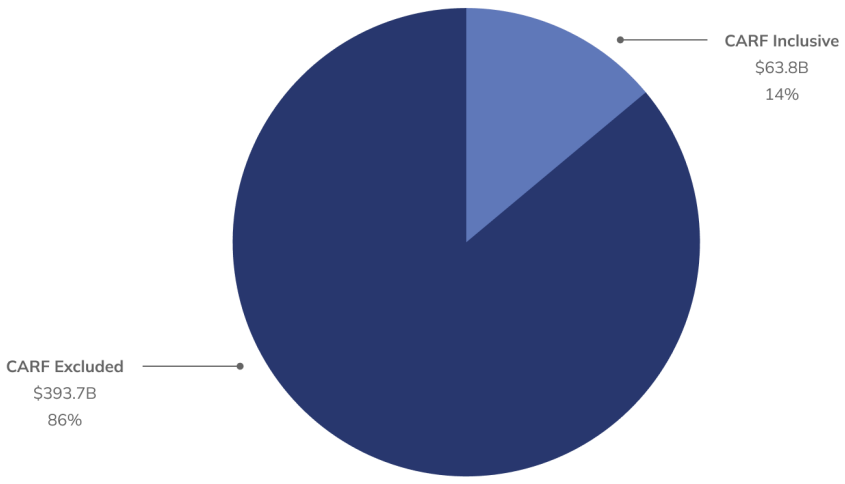
Practically, CARF applies to centralized exchanges, brokers, retailers, and certain wallet providers in terms of collecting customer information and reporting crypto transactions to the tax authority(ies) with which they have the specified jurisdictional nexus. Dozens of countries have committed to begin exchanging information under CARF starting in 2027, with more expected to join later.

A significant share of global crypto trading occurs off-chain, inside the closed order books of centralized exchanges. This activity is likely the easiest for tax authorities to account for: it occurs within the view of entities that generally know who their customers are, and (at least for trades wholly within their order books) how those customers generated returns. CARF is designed to capture this off-chain activity directly from Reporting Crypto-Asset Service Providers (RCASPs).

CARF's reach extends to some on-chain activity, too. For example, an inflow or outflow from an unhosted (or private) wallet to a centralized exchange that corresponds to a sale is a CARF-covered action. However, when we look at the full universe of on-chain taxable activity, these CARF-inclusive events represent only 14% of the global total. The remaining 86% — encompassing DEX activity, peer-to-peer transfers, on-chain income streams, and payments — falls outside the framework's practical scope.

**Crypto Flows 2025 by CARF Coverage**

CEX gains are CARF inclusive; all other flows are CARF excluded




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Several structural factors explain why important inputs relevant to taxable income calculations will not be known to tax agencies, even after they receive data under CARF:

- It's common for taxpayers to acquire crypto on one platform before transferring it to the original or another platform.
- Most crypto has historically been held in private wallets prior to transfers to RCASPs for disposition, or subsequent to acquisition on an RCASP (and which may be reported as such a transfer under CARF or some domestic information reporting rules).
- CARF is not retroactive in nature.
- Most decentralized exchanges (DEXs) are practically out of scope.
- Peer-to-peer transfers, self-custody activity, and foreign platforms without a reporting nexus in a CARF jurisdiction also fall outside the framework.
- Mining rewards, staking yields, lending income, and many goods/services payments aren't captured by CARF (although certain transfers relating to such income types may be).
- Cost basis gaps persist. Even where exchanges report dispositions, they often lack information for digital assets acquired elsewhere, making accurate gain/loss calculation difficult.
- CARF data are aggregate, as opposed to transactional, in nature.

Highlighting these points is not intended to be a suggestion to revise CARF, as it provides valuable insights into transactions occurring on platforms where the majority of crypto trading occurs (i.e., centralized exchanges). Rather, our intention is to make the point that the value of data received under the information reporting reforms is maximized when combined with workflows that leverage blockchain data.

# **Trading Gains in 2025:** CEX and DEX Activity

Blockchain data indicate that trading gains associated with centralized exchanges (CEXs) and decentralized exchanges (DEXs) ($127.1 billion) make up one of the largest components of taxable crypto activity globally, second only to peer-to-peer and service-like payments.

Trading on exchanges is also the category most directly relevant to how CARF and similar reporting frameworks were designed. Looking at the past several years of data reveals three important dynamics:

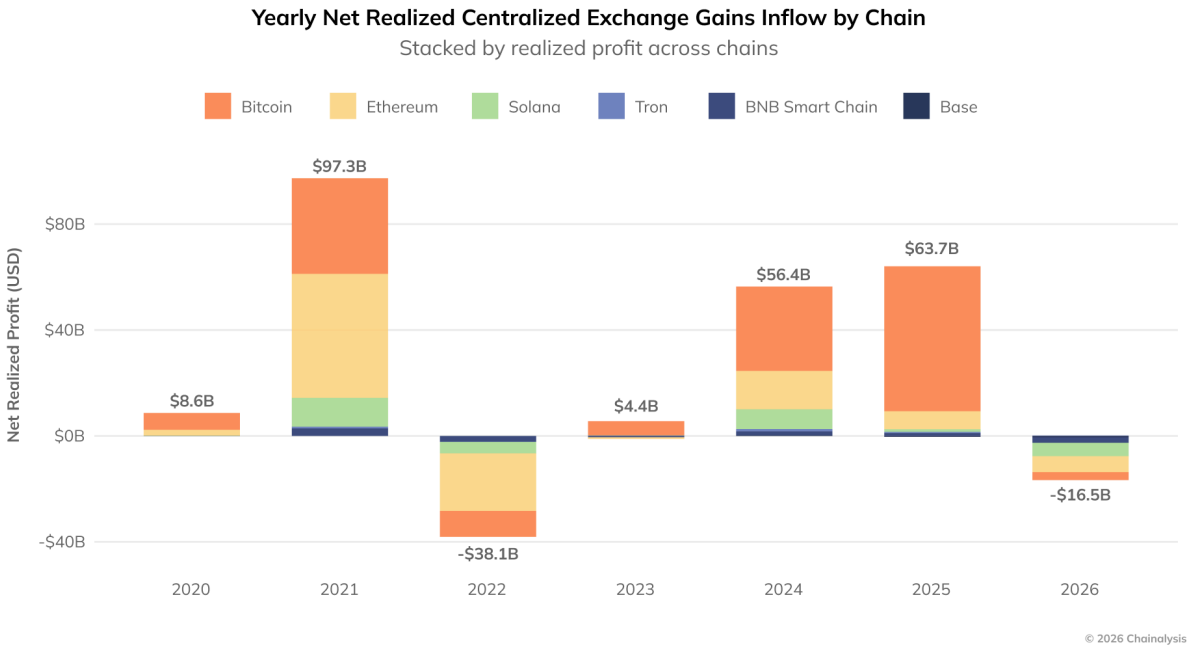
1. Realized gains on centralized exchanges are deeply cyclical and tied to broader market conditions.
2. Decentralized exchange activity has grown into a meaningful contributor to global taxable flows.
3. It is possible to attribute trading gains to particular countries under the methodology we describe.
4. Taxable crypto activity outside of CEXs exceeds taxable activity that is represented by transfers to/from CEXs.

## CEX gains: cyclical, concentrated, and Bitcoin-dominated

Realized profits flowing through centralized exchanges follow the rhythm of the broader crypto market. Returns over the past six years demonstrate this.

- **2021:** A year of euphoria with strong profits of $97.3 billion.
- **2022:** As markets reacted to the collapse of several major exchanges, traders booked a record loss of $38.1 billion.
- **2023:** The trend reversed, printing a modest gain of $4.4 billion.
- **2024:** Profitability continues with $56.4 billion.
- **2025:** Realized profits grew roughly 13% year-over-year to reach $63.7 billion.
- **2026:** Partial-year data was tracking negative at -$16.5 billion as of early August. This should be interpreted cautiously given that the year is still in progress, and is broadly in line with expectations given BTC's ~50% price decline into 2026, which mechanically reduces realized gains.

Net profits associated with crypto transferred to centralized and decentralized exchanges are calculated by taking the average cost basis (ACB) of assets within a wallet cluster, and measuring the outflows to such exchanges as a sell action. Trades made by users on centralized exchange platforms are not captured, as they are not visible on the blockchain. We believe that this does not detract from the accuracy of the results of the study, as transfers from unhosted wallets to exchanges are generally made for the purpose of selling the asset. Omission of gains on centralized exchanges, including transfers between centralized exchanges, likely understate observed gains and losses.




From a blockchain perspective, Bitcoin consistently dominates net realized profits in positive years (given its price performance and market capitalization), accounting for the majority of gains in 2021, 2024, and 2025. The Ethereum network contributes meaningfully during bull markets but also drives a large share of losses in down years. Other chains, including Solana, Tron, BNB Smart Chain, and Base, remain comparatively small contributors at the aggregate level, even as they have grown in user activity and on-chain volume.

For tax authorities, cyclicality can matter. For example, some countries place limits on the carryforward of losses from asset dispositions ("capital losses"), limit the type of income against which capital losses can be deducted, and limit offset between different (capital) assets (including different digital assets).

| Bitcoin Price Increase (2011-2026) | | | | |
|---|---|---|---|---|
| | | 1 year | 3 Year | 5 year |
| **Dec. 31, 2011** | $4 | | | |
| **Dec. 31, 2012** | $13 | 225% | | |
| **Dec. 31, 2013** | $754 | 5700% | | |
| **Dec. 31, 2014** | $320 | -58% | 7900% | |
| **Dec. 31, 2015** | $431 | 35% | 3215% | |
| **Dec. 31, 2016** | $964 | 124% | 28% | 24000% |
| **Dec. 31, 2017** | $14,156 | 1368% | 4324% | 108792% |
| **Dec. 31, 2018** | $3,743 | -74% | 768% | 396% |
| **Dec. 31, 2019** | $7,194 | 92% | 646% | 2148% |
| **Dec. 31, 2020** | $29,079 | 304% | 105% | 6647% |
| **Dec. 31, 2021** | $46,329 | 59% | 1138% | 4706% |
| **Dec.31, 2022** | $16,548 | -64% | 130% | 17% |
| **Dec. 31, 2023** | $42,255 | 155% | 45% | 1029% |
| **Dec. 31, 2024** | $92,643 | 119% | 100% | 1188% |
| **Dec. 31, 2025** | $88,733 | -4% | 436% | 205% |
| **Aug. 19, 2026** | $68,352 | -23% | 313% | 48% |

It's also worth noting that aggregate trends can obscure significant individual outcomes. Even in a year of net losses at the macro level, individual taxpayers may still realize substantial gains — a single trader could realize $10 million in gains in a year where the overall market is negative, since whether

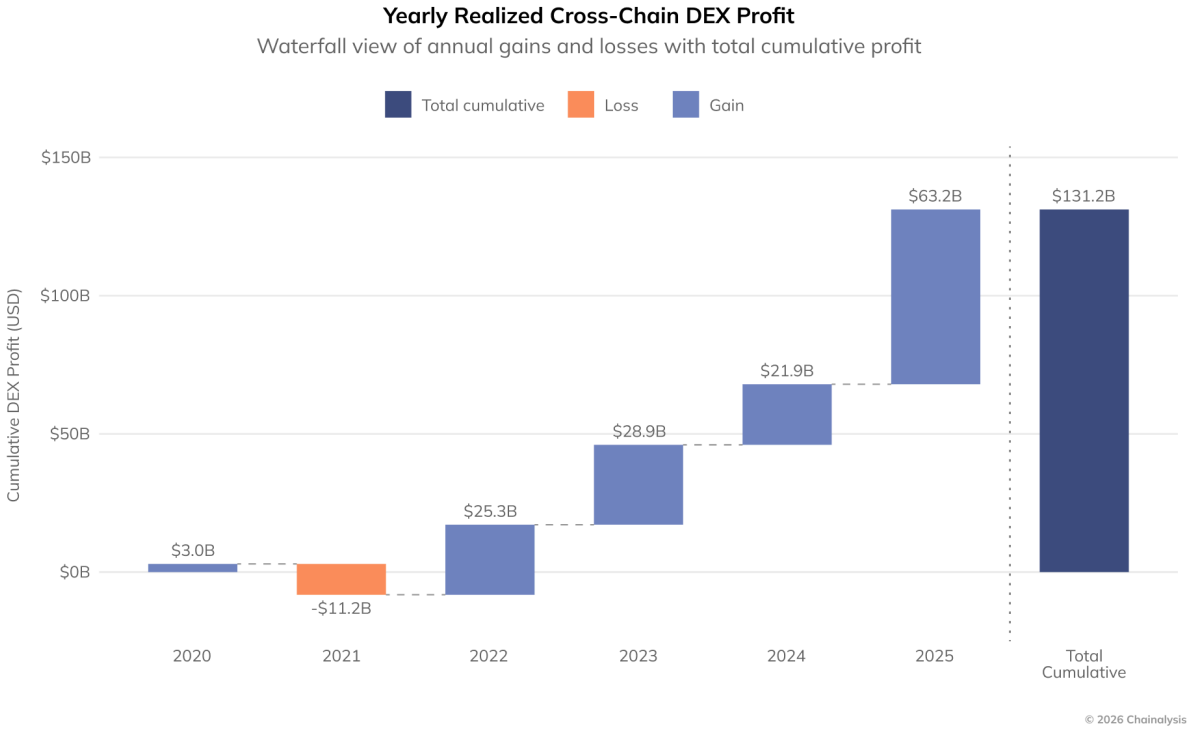
any given disposition produces a gain or a loss depends on an asset's cost basis, not the broader market direction.

Additionally, some assets can move countercyclically to the dominant macro trend in a given year, further complicating any assumption that a down market equals down tax liability.

Tax obligations spike sharply in years with the largest realized gains, where compliance gaps can be most consequential. The last complete calendar tax year (2025) in our data set, was one such year — with the volume of taxable CEX activity generated at substantial levels.

## DEX gains: a growing share of global taxable activity

Decentralized exchange activity has followed a different trajectory. While DEX activity showed a large loss in 2021 during the early DeFi boom-and-bust, the cumulative total has trended upward in most years since — though not uniformly, as the cumulative DEX profit declined between 2023 and 2024 before resuming its climb. Whether that pattern persists through the next full market cycle remains to be seen, but the cumulative volume is already large enough that DEX gains represent a durable and growing contributor to global taxable flows.




After a modest profitable year in 2020 ($3.0 billion cumulative) and a drop to -$11.2 billion cumulative loss in 2021 during early DeFi market volatility (a swing of roughly $14.2 billion in that year alone), profits associated with DEXes rebounded sharply. Cumulative gains climbed to $25.3 billion by the end of 2022 (a year-over-year gain of approximately $36.5 billion), even as CEX activity was posting its worst year on record. That divergence is notable: it suggests DEX traders captured opportunities during periods of market dislocation that CEX traders missed. The cumulative total continued climbing to $28.9 billion in 2023,

moderated to $21.9 billion in 2024 (indicating a net loss for the year of roughly $7 billion), and then surged to $63.2 billion by the end of 2025 — a single-year gain of approximately $41.3 billion, the largest in the series.

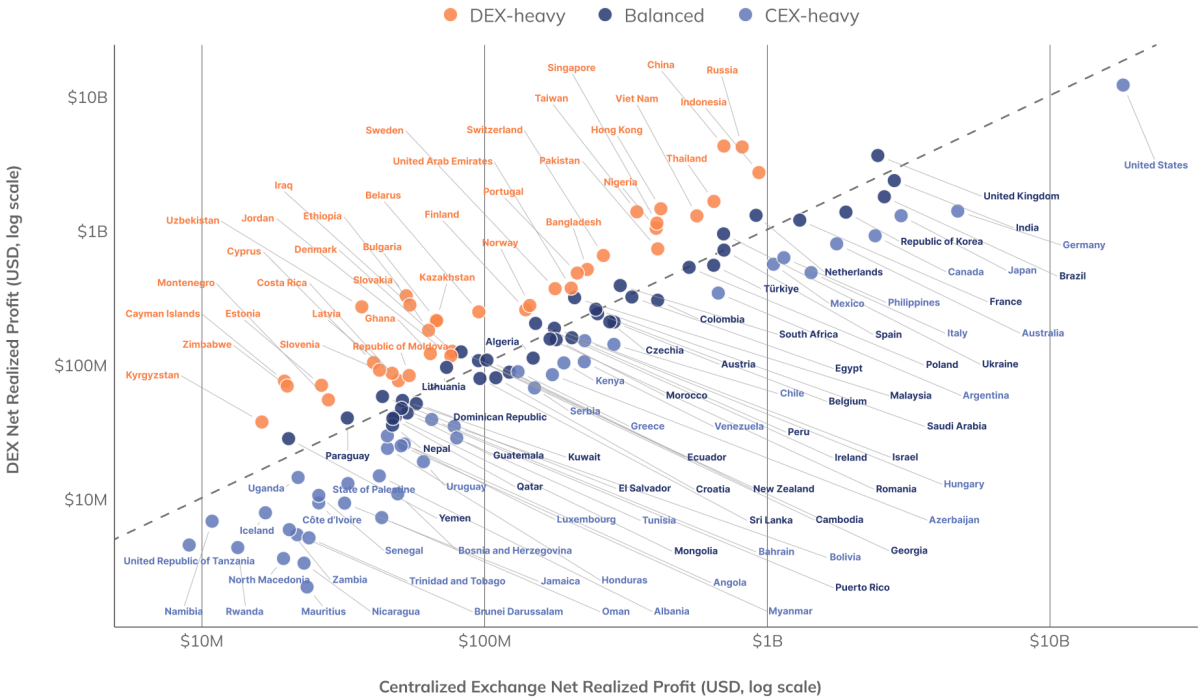
## CEX markets vs. DEX markets: a regional story

Aggregate global figures mask significant variation in how individual countries trade. Mapping each country's 2025 net realized CEX profit (loss) against its DEX profit (loss) reveals a broadly linear relationship: countries with more CEX activity tend to have more DEX activity as well, suggesting the two are complementary rather than substitutive. What differs is the balance between them. Three broad market types emerge: (a) CEX-heavy markets, where centralized exchange activity dominates; (b) DEX-heavy markets, where decentralized activity is the larger source of gains; and (c) balanced markets, where the two are roughly comparable.

The United States is an outlier among CEX-heavy markets, sitting far to the right of the chart with very large centralized exchange gains and a much lower DEX position relative to the equal-profit line. That confirms the United States as the world's most CEX-dominant market by a wide margin, which is consistent with its mature centralized exchange ecosystem. The United Kingdom, by contrast, is one of the largest balanced or near-balanced markets, positioned closer to the diagonal. Several other large markets, including Germany, Brazil, Japan, India, France, Canada, Australia, Italy, and Korea, sit below the diagonal, indicating that CEX gains exceed DEX gains.

**2025 DEX vs Centralized Exchange Net Realized Gains by Geography**

Countries with positive CEX and DEX gains greater than $1M. Labels highlight largest and most skewed markets.




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Several Asian markets, however, sit notably above the diagonal. China, Viet Nam, Thailand, Indonesia, Hong Kong, and Taiwan all show stronger relative DEX participation compared to their CEX activity, indicating their trader populations prefer DeFi. This may be driven by a number of factors: regulatory restrictions on centralized exchanges in some jurisdictions, and/or also a younger, more crypto-native user base. Whatever the driver, the result is that a substantial share of taxable trading activity in these markets is happening on venues outside of CARF.

Smaller markets in the Americas and EMEA, by contrast, are predominantly CEX-heavy, clustering below the diagonal. This suggests that CEX-dominant behaviour is the global default outside of Asia, with DeFi adoption representing a meaningful regional differentiator rather than a universal one.

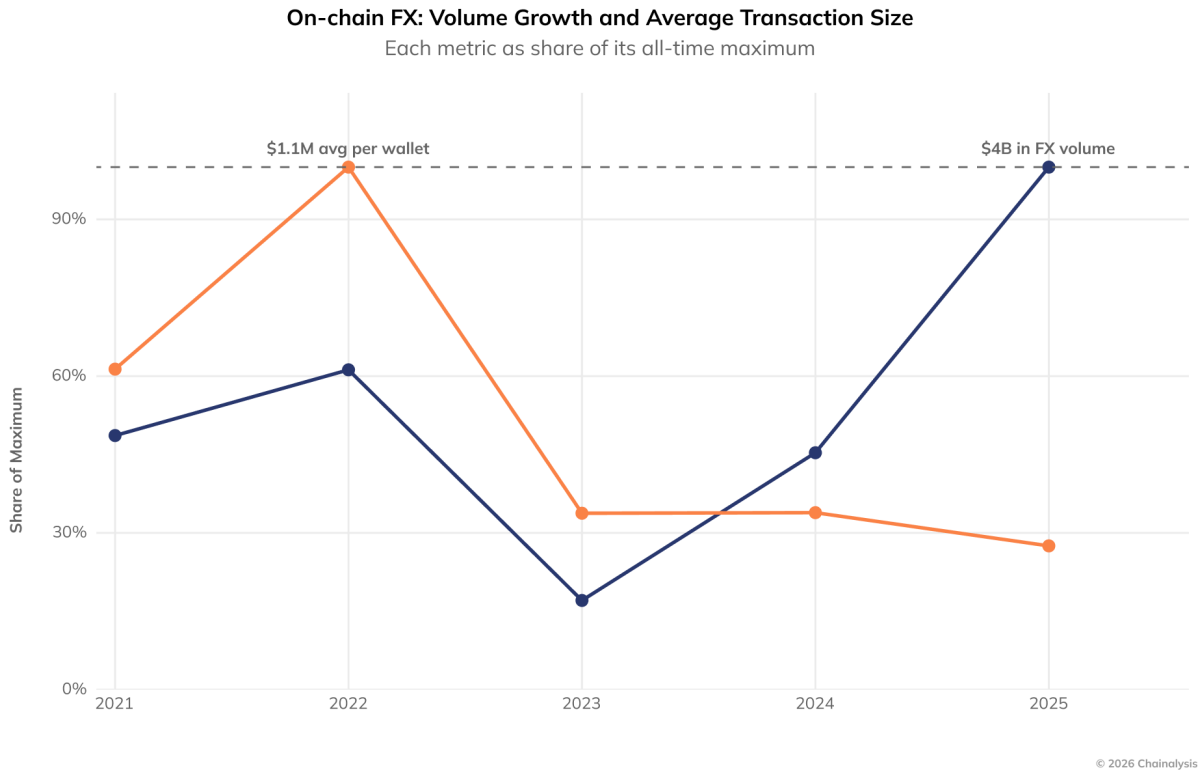
These statements on CEX versus DEX usage are obviously macro in nature, and factually there are many instances in which a particular crypto trader in a country uses one type of trading venue more than another.

## What this means for tax authorities

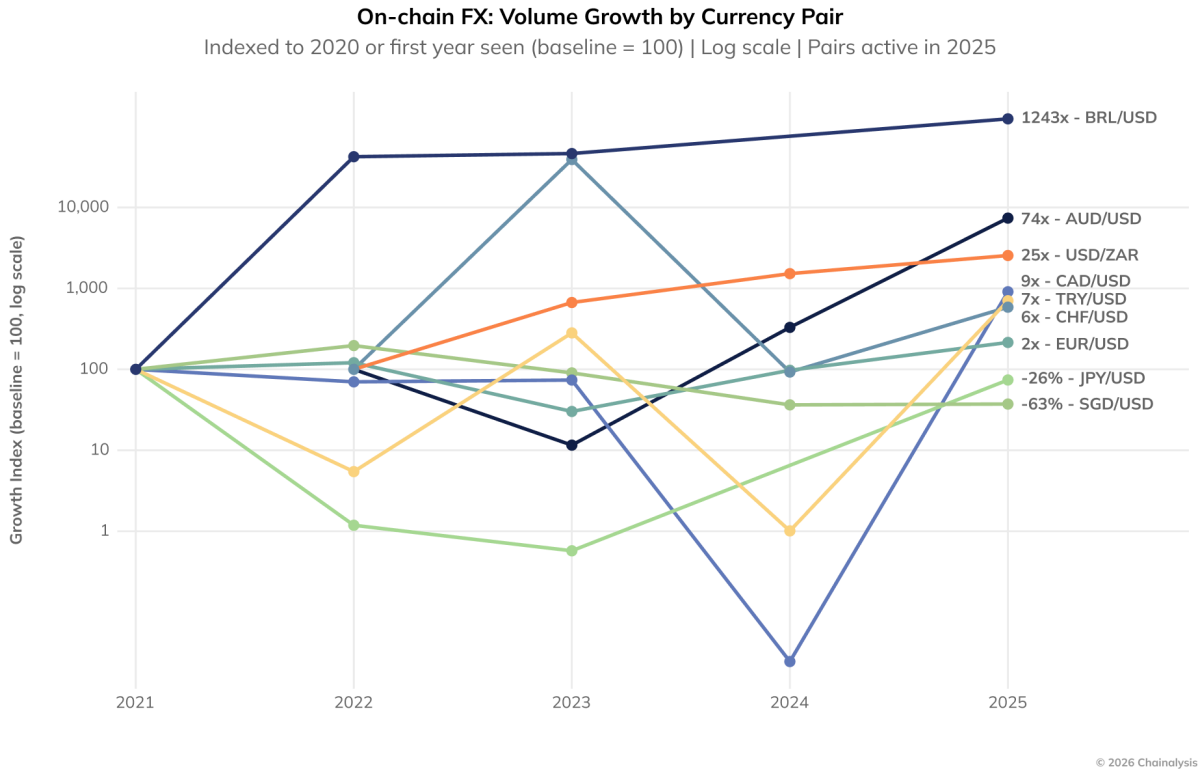
Domestic and multilateral information reporting reforms practically only apply to centralized exchanges, where decentralized exchanges are sufficiently decentralized so as not to be caught within their ambit. Tax agencies will have more data with which to assess compliance where a country's population base has a higher usage of centralized exchanges. Blockchain data can be used to identify if a taxpayer also has material DEX activity.

# **FX Effects:** A Small but Growing Subcategory of DEX Trading

A small but growing share of DEX activity involves stablecoin trading pairs denominated in different fiat currencies, such as the U.S. dollar, Euro, South African rand, Australian dollar, and Brazilian real.




Annual DEX stablecoin FX trading volume has grown to roughly $4 billion, even as the average size of individual swaps has shrunk over the same period. The rising total volume alongside the falling average trade size suggests that the activity is broadening across a larger base of smaller traders rather than remaining concentrated among a handful of large participants.




The currency-pair breakdown can offer a rough proxy for where this activity is geographically concentrated. Growth has been especially strong in BRL/USD (up 1243x since 2021), AUD/USD (74x), and USD/ZAR (25x) pairs, suggesting meaningful adoption in Brazil, Australia, and South Africa. Other pairs, including TRY/USD (7x) and CAD/USD (up 9x), show more moderate growth, while JPY/USD and SGD/USD have contracted over the same period.

Stablecoin trading pairs matter for tax authorities for two related but distinct reasons. First, as the charts above show, users are actively trading between stablecoins denominated in different currencies. This is effectively on-chain FX activity, and it may generate realized gains. Those gains are already nested within the broader DEX gains figures discussed earlier in this chapter. Still, they warrant separate attention given the specific tax treatment that can attach to foreign currency-denominated transactions.

Second, stablecoins denominated in a currency other than the local currency ("nonfunctional currency") can trigger additional tax complexity even outside of active crypto trading. A transaction that is treated as a disposition of nonfunctional currency, even where fiat currency is not actually involved, could be treated as invoking the country's tax rules for nonfunctional currency transactions. This obviously depends on how a country's tax rules governing nonfunctional currency transactions are written, and whether those rules are broad enough so as to invoke their application even though stablecoins are generally not treated as fiat currency for tax purposes. In other words, a country can decline to treat stablecoins as fiat currency, but tax rules relevant to nonfunctional currency transactions still could apply where economic gain or loss arises based on FX movements of a stablecoin’s “denomination” vis-à-vis the local currency.

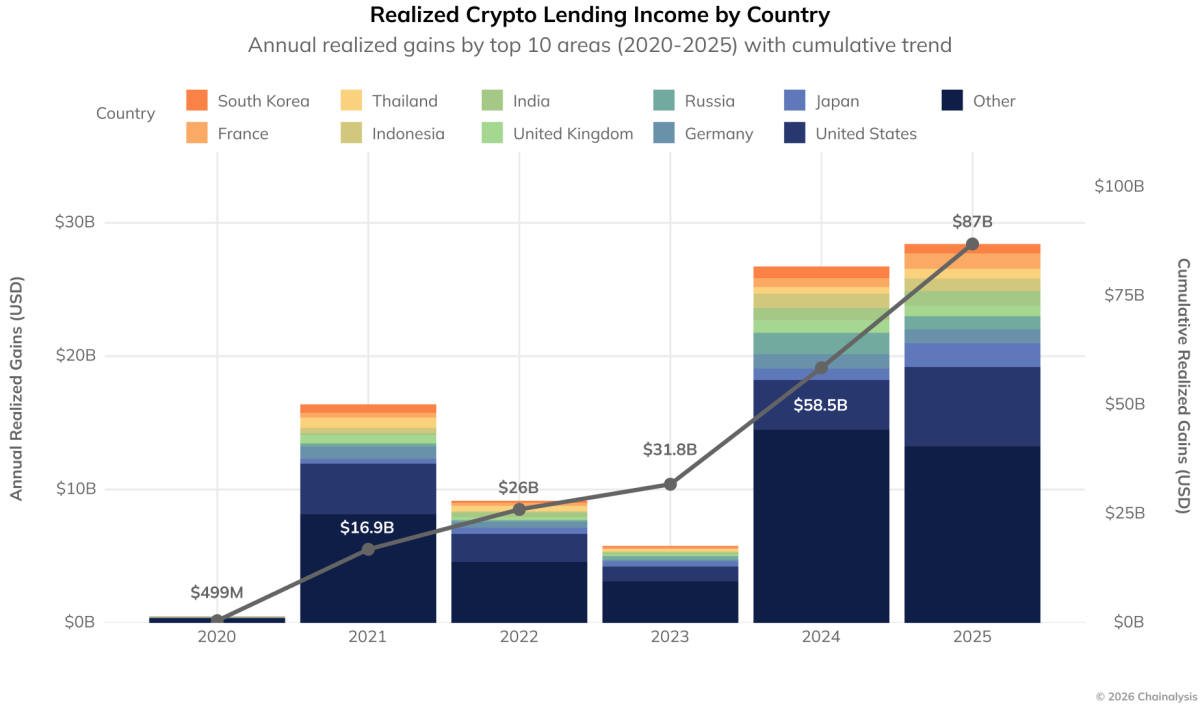
A point of reference can be the United States. In particular, there are regulations that provide that currency gain or loss can arise in transactions where the taxpayer doesn't actually receive non-functional currency. This can occur where the amount a person is entitled to receive or obligated to pay is determined by reference to the value of nonfunctional currency. (See Treas. Reg. § 1.988-1(a)). As of the date of this writing, no U.S. tax guidance has been issued that directly addresses whether transactions involving non-USD stablecoins invoke the U.S. tax rules for transactions involving non-functional currencies. This may be more of an issue for other countries to address given the predominant stablecoins are U.S. dollar "denominated." Whether and how such rules may apply generally have yet to be determined, and could take factors into account, such as the stabilization mechanism, backing, redeemability, and volatility.

# DeFi Income Streams Generated a Cumulative $81.7 Billion through 2025

While trading gains tend to dominate conversations about crypto taxation, other, less-discussed strategies also generate billions of dollars annually. In 2025, individuals received on-chain income from a wide variety of sources, including mining, staking, lending, and gambling. These income types reached an estimated cumulative total of $81.7 billion globally in 2025.

## Crypto lending income is concentrated in a few key markets

Income from crypto lending has followed a rocky path of booms and busts. The category's first breakout year came in 2021-2022 when DeFi summer pumped activity across all on-chain lending and trading platforms. The relative euphoria of this early period gave way in 2023-2024 to the pressures of collapsing lenders. Bankruptcies by Celsius, BlockFi, 3AC, and Voyager defined a widespread crypto winter in which lending revenues were highly compressed.

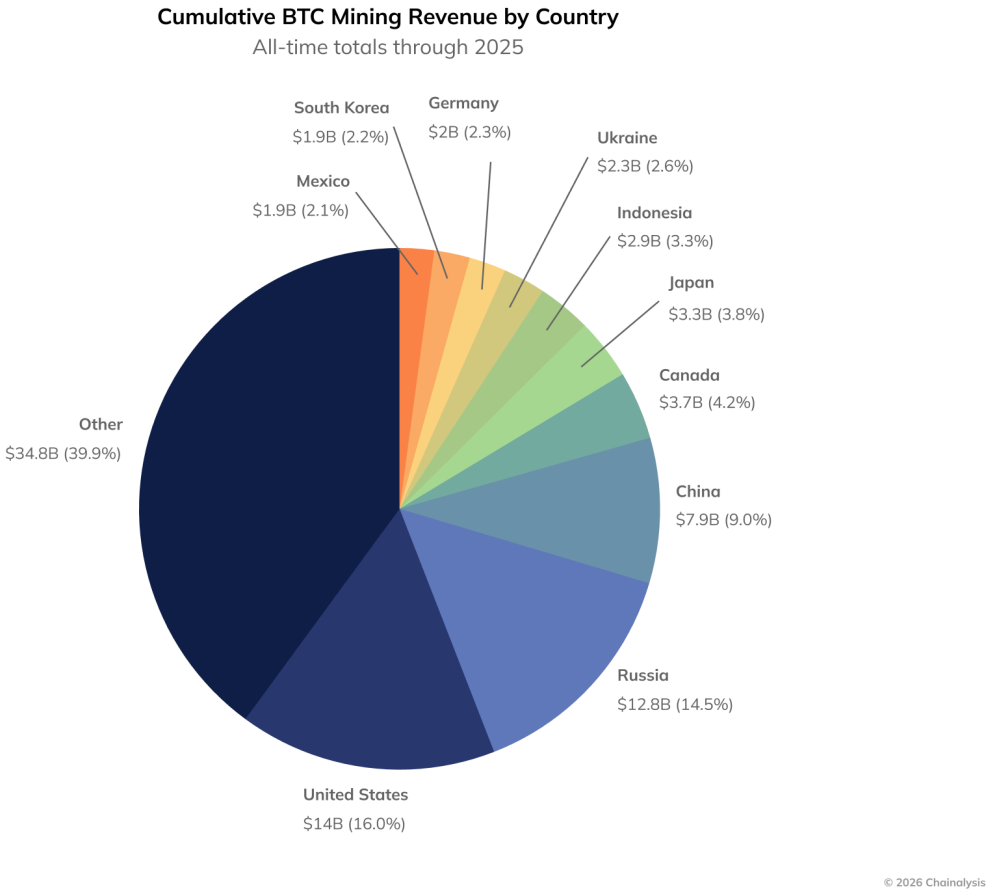



Revenues from crypto lending returned in 2024. As with most years, only a handful of countries are responsible for the vast majority of income. That said, over 85% of countries observed had some level of income from lending. The most notable is the United States, whose high lending income is consistent with its large retail and institutional participation in DeFi.

## Mining and staking: geographically concentrated, structurally shifting

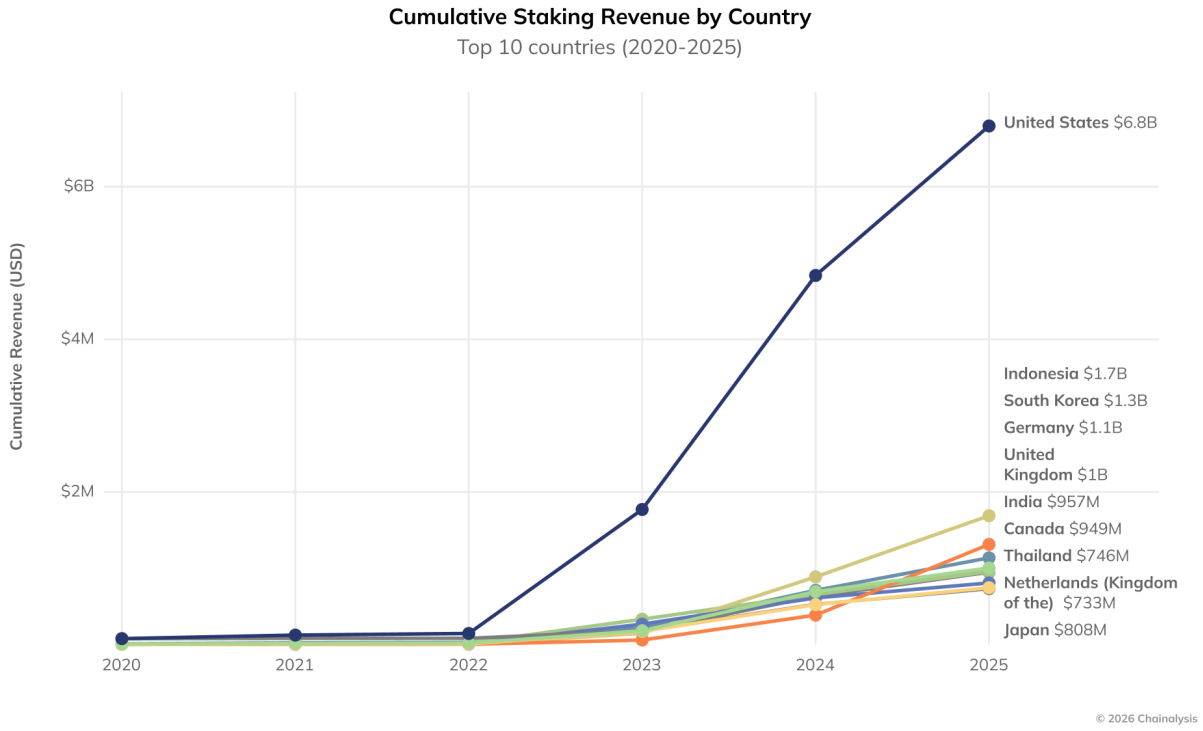
Mining and staking are the technical processes that keep blockchains secure, and both generate meaningful on-chain income. The mechanics differ by blockchain, but the underlying idea is similar: participants contribute resources to the network and earn newly issued tokens in return.

On proof-of-work chains like Bitcoin, miners commit vast computing power, racing against each other to solve complex puzzles. The winner earns new BTC. Most other blockchains use the less energy-intensive proof-of-stake process, most notably Ethereum after the Merge. In this system, validators put up their own assets as collateral to help validate blocks, earning new tokens in return for their work. In 2025, on-chain mining and staking have generated $26.8 billion in realized income, with the cumulative total across multiple years reaching significantly higher totals that would be potentially audible by local tax agencies.




China was a major player in bitcoin mining revenue in 2020, but in 2021, the CCP cracked down on mining, branding it illegal and sparking a global reshuffling. Chinese miners relocated their operations en-masse. This boosted growth in the U.S. and Russia. It also accelerated the diversification in global mining revenue overall.

Comparatively, on-chain staking revenue is heavily concentrated in a single country: the United States. The U.S. has led this category since 2020, and its hold tightened in 2023 following Ethereum's transition from proof-of-work to proof-of-stake. Post-Merge staking revenues flowed overwhelmingly to the U.S., particularly through liquid staking protocols such as Lido. This concentration is not surprising, given that staking is inherently a wealth-begets-wealth activity (the more capital a participant can stake, the more rewards they earn).




Many of the top 10 countries ranked by cumulative staking revenue also generate notable revenue from mining. But strength in mining and other on-chain streams does not guarantee a country will have similarly strong staking revenue — especially in emerging markets. For example, Brazil, a top 10 for mining revenue and also gambling revenues, does not have comparable figures for staking income.

It is worth noting that revenues in this sector are not equivalent to taxable profits. Depreciation expenses on hardware equipment and other mining/staking expenses (i.e. the cost of electricity) can be high and vary by region. Tax rules of some countries, however, can operate to deny deductions and cause taxpayers to be taxed on gross income where they fail to timely file tax returns in a country with which they have taxable nexus. Transfer pricing issues have also been observed in certain instances.

## Gambling: $26 billion in realized income in 2025, broadly distributed

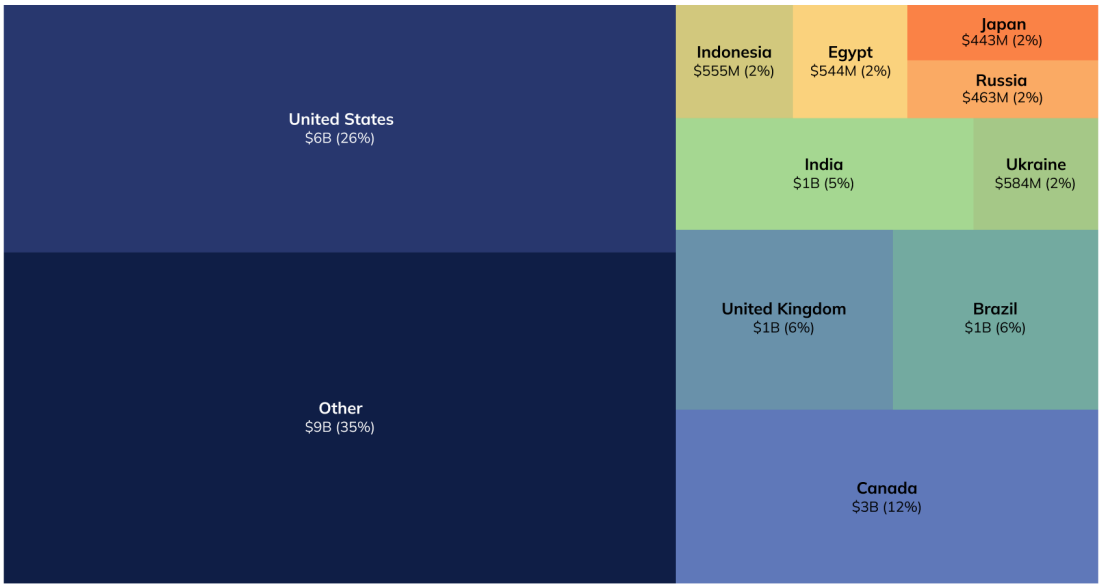
Crypto gambling generated an estimated $26 billion in realized income in 2025, making it the second-largest income category after lending. This figure measures net winnings withdrawn — the amount by which a gambler's withdrawals to a wallet exceeded their deposits to that wallet — rather than

total volume wagered. This figure does not consider wallets that experienced a net loss due to the absence of a net positive amount deposited into their wallet, or the gambling service's income from serving customers.

The United States dominates at approximately $7.0 billion, or 26% of the global total — more than double the next-largest country. Canada is a notable second at $3 billion (12%), accounting for a disproportionately large share relative to its population. Beyond the top markets, gambling income is widely distributed: the "Other" category, which aggregates all countries outside the top group, is the single largest segment at $9 billion (35%). The top 10 countries account for roughly 65% of total realized income, meaning the remaining 35% is spread across a long tail of smaller markets.

**Realized Gambling Income by Country (2025)**

Total taxable income: $26.6B




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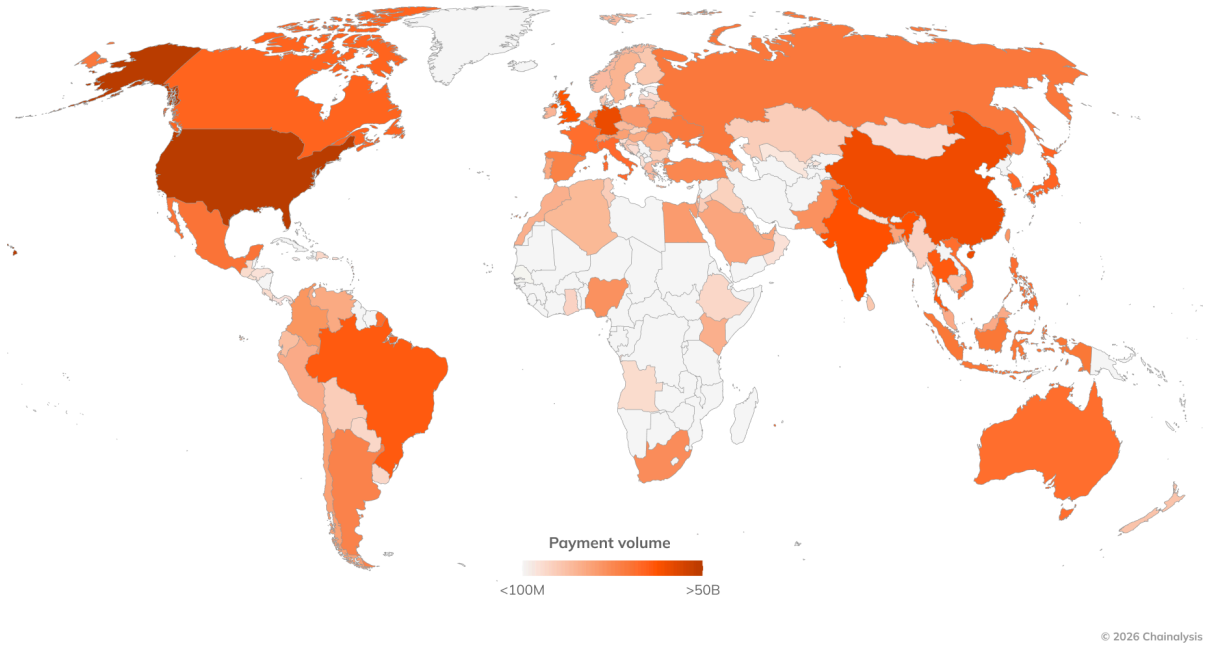
Some countries have special information reporting rules that apply to gambling income, and some countries may treat gambling income as illegal income. However, such domestic rules may have limited effect where local taxpayers can access foreign platforms.

# **Payments:** The Largest and Most Globally Distributed Category

Payments involving stablecoins are the single largest component of taxable crypto activity measured in this report. At approximately $248.7 billion in 2025, stablecoin payment flows account for just over half of total taxable activity, exceeding both gains and income combined. The vast majority of this volume, roughly $229.8 billion, comes from peer-to-peer and service-like payments, with merchant services contributing an additional $18.9 billion.

**Global Stablecoin Payment Flows 2025**

Countries coloured by total payment volume



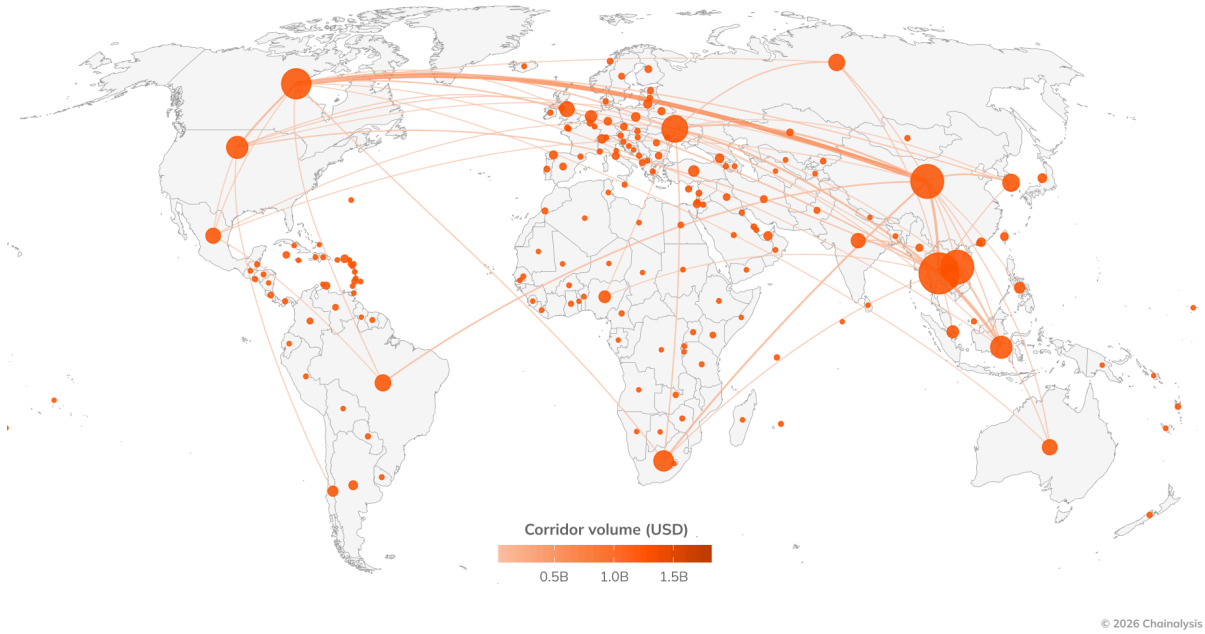

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Stablecoin payment activity is global. The United States is the largest single market, but elevated payment volumes are also visible across China, India, Brazil, Canada, Russia, Australia, and much of Western Europe. Latin America shows broad participation, with countries including Brazil, Mexico, Argentina, Chile, Colombia, and Peru all registering meaningful activity. Countries across Asia, such as China, India, Japan, South Korea, Thailand, Viet Nam, Indonesia, and the Philippines, all appear as mid-to-high volume markets. Even in Africa and the Middle East, where aggregate volumes are smaller, specific countries show notable payment flows.

What stands out is how different the geographic distribution of payments is from trading gains. Payments are far more evenly spread across regions and income levels than CEX or DEX activity, and several emerging markets that don't rank highly for trading gains show significant payment volumes. This suggests that stablecoins are being used for fundamentally different purposes in different markets.

**Cross-Border Stablecoin Payment Flows 2025 — $9.1B**

Top 50 corridors by total bilateral volume · circle size shows total country volume




The top 50 bilateral stablecoin payment corridors in 2025 total approximately $9.1 billion, forming a highly connected global network with clear hubs in North America, Europe, and East and Southeast Asia. Europe shows dense intra-regional connections, while several Asia-to-Asia and Asia-to-Europe routes feature among the largest individual corridors.

For tax authorities, the payment picture presents a layered analysis. Where crypto is used to purchase goods or services, most countries treat the crypto transfer as a taxable disposition (consider the FX discussion above, or capital gains consequences if other crypto is used). There are add-on consequences to the seller of goods or provider of services that trigger potential income, sales, and/or indirect tax consequences. Customs duties may also arise, as well as more serious consequences.

# **Prioritizing Enforcement:** Identifying High-Risk Wallets Through On-Chain Analysis

The sheer number of taxpayers with crypto and the potential number of on-chain revenue sources present challenges for tax authorities. How do they prioritize which cases to pursue?

One answer: investigate wallet addresses that indicate higher noncompliance risk. A broad number of on- and off-chain criteria can be used to inform this analysis that are both qualitative and quantitative. Qualitative factors may be based on different types of behaviors observable on a blockchain or the types of crypto businesses with which a person engages.

On-chain behaviors can include various forms of market manipulation, professional trader status, obfuscation efforts, sale of real world goods / services, and P2P transactions.

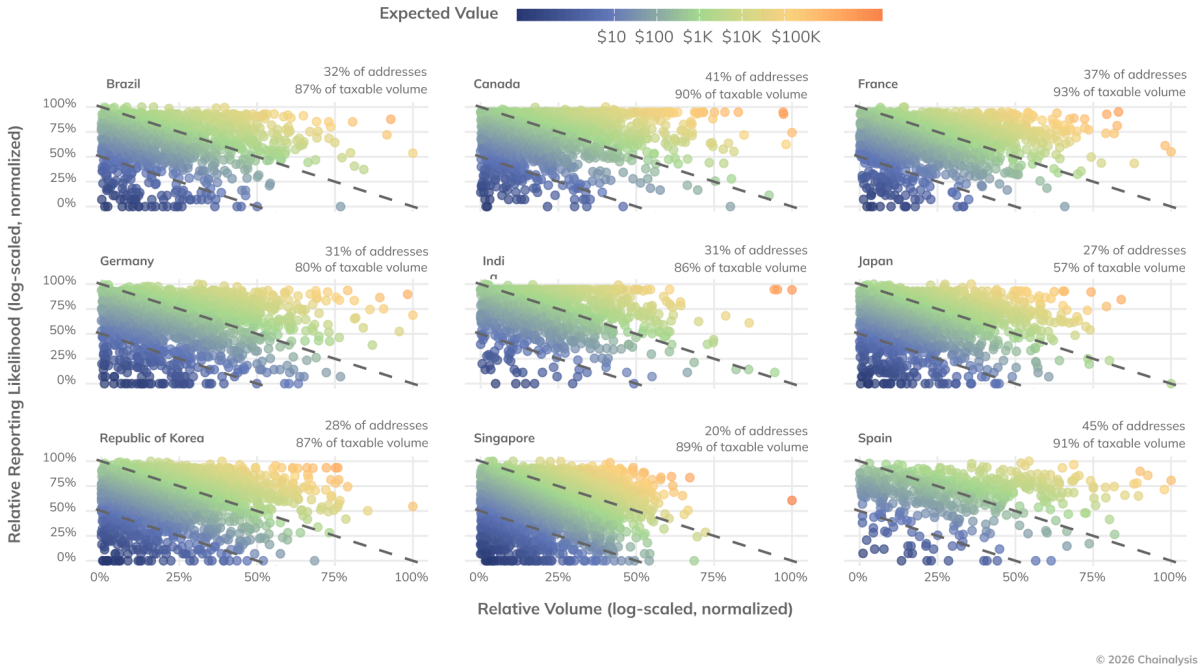
Crypto businesses with which a person engages are typically identified based on the wallet addresses a business controls under attribution and clustering heuristics relevant to blockchain data. Use of certain types of crypto businesses may suggest different compliance profiles for taxpayers, and can range from low risk (e.g., transacting on exchanges with full information reporting) versus high risk (e.g., transacting with illicit services). Data quality considerations are particularly important for effective risk detection, as failure to properly cluster wallet addresses of a taxpayer and highlight factors suggestive of common ownership of different wallet addresses, not only furthers inaccurate risk assessment, but also misses components relevant to taxable income calculations.

Concerning quantitative risk factors, a surprisingly small number of wallets often account for a disproportionate share of taxable income in certain countries. In order to visualize this, we created a matrix that displays wallets by their size (a quantitative factor), as well as by noncompliance risk criteria based on qualitative risk factors (i.e., types of crypto businesses used). The farther to the right a wallet appears on our X axis, the more volume it sees and the more relevant it may be to compliance efforts. And the higher up on our Y axis the wallet lands, the higher the potential noncompliance risk indicator.

Wallets in the lower left of our matrix may present less tax compliance risks, because their taxable activity is low. Such analyses can be important, given the need to efficiently allocate enforcement resources due to the large portion of crypto holders in some countries.

**Tax Authority Priority: Reporting Likelihood by Relative Volume (2025)**

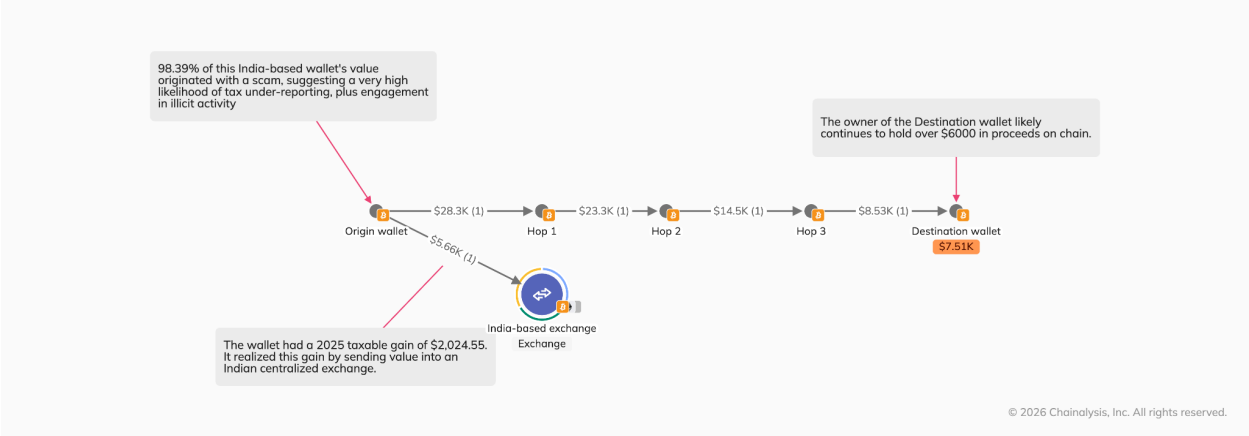
Both axes: log-transformed then normalized 0-100% within each country | Flagged addresses only



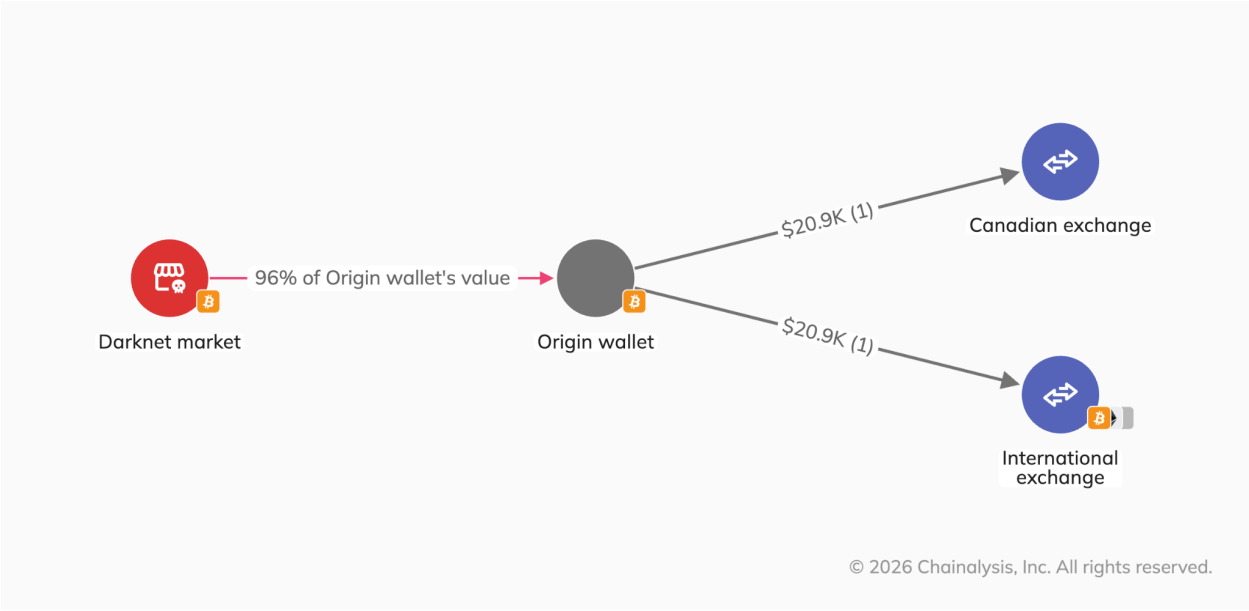

Organizing the data in this way reveals that a relatively small share of wallets account for a disproportionately large amount of (potentially) taxable activity. On average, between 20-45% represent 57-93% of potentially taxable activity. Spain has the highest concentration of such addresses (the top 45% of wallet addresses account for 91% of taxable activity). Singapore has the next highest concentration — only 20% of addresses capture 89% of transaction volume (4.5× ratio). In contrast, Japan has a lower volume concentration — the top 27% of wallet addresses account for 57% of taxable activity. This indicates that taxable activity in Japan is more evenly distributed across wallet sizes, as compared to other countries.

| Country | % of Addresses | % of Taxable Volume | Concentration Ratio |
|---|---|---|---|
| **Spain** | 45% | 91% | 2.0× |
| **Canada** | 41% | 90% | 2.2× |
| **France** | 37% | 93% | 2.5× |
| **Singapore** | 20% | 89% | 4.5× |
| **Brazil** | 32% | 87% | 2.7× |
| **Republic of Korea** | 28% | 87% | 3.1× |
| **India** | 31% | 86% | 2.8× |
| **Germany** | 31% | 80% | 2.6× |
| **Japan** | 27% | 57% | 2.1× |

One of our blockchain data visualization tools, Chainalysis Reactor, puts a spotlight on the risk profile and potential tax. Our first example is an India-based bitcoin wallet (labeled as Origin wallet on the Reactor chart). It is flagged as likely to have underreported its 2025 gains because it has high exposure to criminal activity: 98% of its flows originated from a scam. As the chart shows, some of the value held by the origin wallet was routed into an exchange — likely to be converted into cash — while the rest flowed through other wallet addresses.

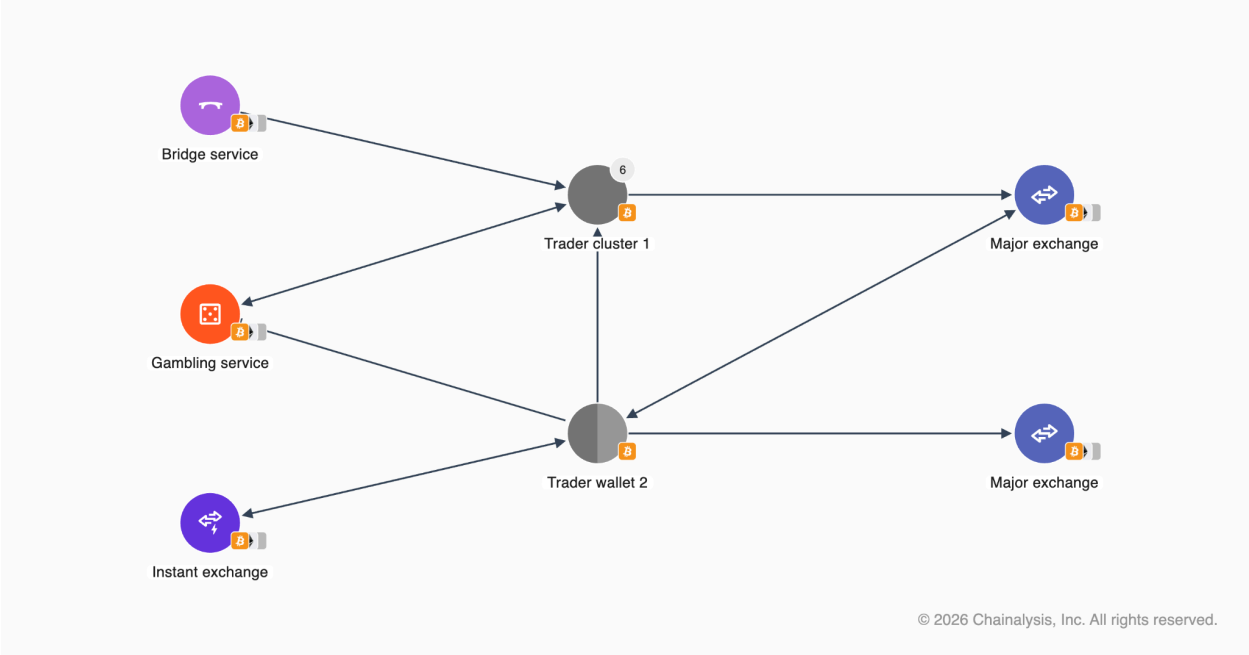



Our second example, a Canadian wallet (labeled as Origin wallet in the chart below) also has a high degree of exposure to illicit sources; its owner thus has lower likelihood of tax compliance. We nonetheless see that the wallet in 2025 made direct deposits into two crypto exchanges, one local, one international .




Reactor can also help untangle transactions that fall outside of CARF's remit. In our final chart, two wallets active in DeFi (via instant exchanges, gambling services and bridges) also send funds to major crypto exchanges  Assuming the DeFi services are not covered by CARF or other information reporting

frameworks, but the major exchanges are, the use of non-reporting crypto exchanges may be relevant to a tax authority seeking to gain insights into taxable income calculations.




If tax authorities can successfully identify wallets addresses that present the highest noncompliance risks and engage in deanonymization workflows, audit resources can be more appropriately focused on the noncompliant taxpayers. This is a benefit for both compliant taxpayers and the efficient allocation of tax authority resources.

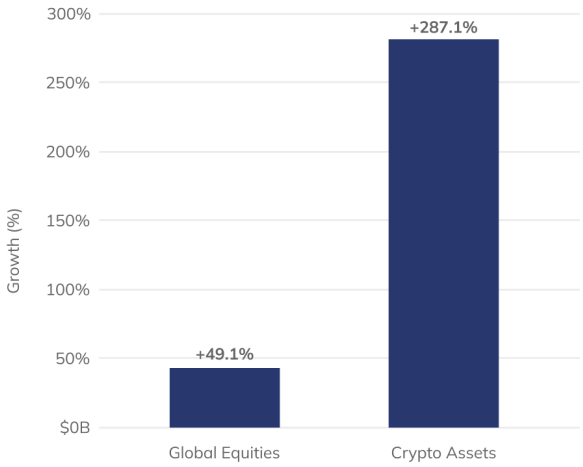
# Conclusion

The taxable income figures in this report parallel the broader relationship between the crypto ecosystem, traditional financial markets, and domestic economic activity in individual countries. For example, as of August 21, 2026, the crypto market cap ($2.7 trillion) was approximately 1.7% of global equities market cap ($157.8 trillion). In our report, the on-chain crypto-related taxable income in a particular country (conservatively calculated) was generally 1% or less of a country's GDP. In the United Kingdom for example, we observed $19.4 billion in taxable activity, while 1% of the United Kingdom's $4 trillion GDP is $40 billion. This not only shows the reasonableness of the results from our research based on parallel economic metrics, but also that less conservative assumptions, such as consideration of (a) trading gains, lending, and staking on centralized exchanges, as well as (b) payment flows outside of stablecoins, could greatly increase actual measures of taxable activity in a country.

The growth rate of the crypto ecosystem is outpacing that of traditional equity markets:

**Market Cap Growth: 2020 to 2025**

Percentage growth in total market capitalization over the five-year period




| Global Equities | |
|---|---|
| 2020 | $105.8T |
| 2025 | $157.8T |

| Crypto Assets | |
|---|---|
| 2020 | $775B |
| 2025 | $3.0T |

Global Equities: SIFMA Capital Markets Fact Book, 2026 Edition. Year-end global equity market capitalization: $105.8T (2020) to $157.8T (2025).
Crypto Assets: CoinGecko Global Cryptocurrency Market Cap Charts. Year-end total market capitalization: $775B (2020) to $3.0T (2025).

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Moreover, the number of people that own crypto is material and also growing. Information reporting reforms like CARF, DAC 8, and their domestic counterparts are important tools for identifying the taxable crypto activity of local tax residents. But as the preceding chapters have shown, such reporting will only provide a partial picture of the inputs into tax calculations and the risk profile of many taxpayers. Self-custodied crypto, holdings that predate information reporting reforms, on-chain activity, and transaction venues outside multilateral and domestic frameworks all sit beyond what RCASPs can report automatically.

Filling in that picture requires drawing on both on-chain and off-chain data. The off-chain data depends on a number of sources, including accurate reporting by third-party stakeholders such as RCASPs. That reporting includes taxpayer identifying information, as well as high level information on certain transfers to and from exchanges.

Not only is such reporting reliant on the quality of on-chain data, but so are blockchain data-driven analyses undertaken by tax agencies, as they provide much deeper and more nuanced insights than the simple reporting of transfers by centralized exchanges. Blockchain data can reveal a diverse range of business types and behaviors on the blockchain, and is often composed of wallet addresses attributed or not attributed to particular business types by blockchain data providers. Reliable attribution of wallet addresses underpins the ability to spot activity that raises compliance risk, fill in data gaps, and establish evidentiary foundations for any disputes that follow. This is why some third parties have undertaken data quality studies.

A number of tax authorities have already begun moving past manual workflows for individual cases, and begun to engage with blockchain data-driven solutions to allow their agencies to scale given the increasing volumes of available data. This includes more effective risk detection, automated analyses of records, and the ability to draw relational comparisons between agency data and blockchain data. Here is a prior report on the role of blockchain data in tax workflows.

If these topics interest you, or if you would like to discuss any aspect of this report, including where your country falls within the parameters discussed and/or how Chainalysis' solutions can aid in tax agency workflows, please contact us.

# **Appendix:** Methodology

This appendix details the methodology used to calculate country-by-country taxable on-chain gains, income, and payments referenced throughout this report. All metrics are defined at the wallet address (cluster) level, referred to as a "wallet" throughout for simplification.

## Scope

Our research focused on activity occurring on six blockchains: Bitcoin, Ethereum, Solana, Tron, BNB Smart Chain, and Base. Activity on these blockchains represents the lion's share of on-chain activity. Importantly, our figures capture taxable activity across all tokens transacted on each of these chains, not just the native asset of each chain.

Trading activity, staking, lending, and other activities occurring on centralized exchanges are not taken into account in our taxable income estimates. This is because such activities are not visible on the blockchain and are recorded in the internal records of centralized exchanges.

## Gains

On-chain CEX gains are estimated and calculated as the difference between the value of crypto at the time of the transfer from the wallet and the wallet's average cost basis. For example, if Wallet A acquires BTC on different dates at an average cost basis of $1,000 and later transfers all or some portion to an exchange when the value is $1,500, Wallet A realizes a $500 gain.

DEX gains are calculated differently from CEX gains due to the availability of DEX data on-chain. Net swaps by unhosted wallets provide a hyper-accurate read of the taxable activity, without the need for proxies or estimates.

Transfers of assets to DEXs for the purpose of executing a swap are treated as dispositions in our methodology. Transfers of assets to DEXs for the purpose of providing liquidity, or to lending protocols, are not treated as dispositions in our gains calculation — consistent with the treatment applied in some (though not all) jurisdictions.

## Income

Income captures value received from on-chain, crypto-native activities, including lending, staking, bitcoin mining, and gambling.

- **Lending, staking, and gambling:** For activities involving an initial outlay, we calculate net returns by comparing value sent to these services against value received, with time-consistent

adjustments to ensure income is only recognized when cumulative receipts exceed cumulative outlays.

- **Mining:** Income is the value of rewards received from Bitcoin mining pools or mining operations. Mining income on other blockchain has not been taken into account.
- **Staking:** Income is measured based on the value withdrawn from decentralized, liquid staking protocols. Staking activity conducted outside of these dedicated services — such as solo validators — is not reflected, meaning the true scale of staking-related income is likely higher than what's captured here.
- **Not included:** Accrued, but unwithdrawn income in lending or staking protocols, and income from providing liquidity on decentralized trading platforms.

## Payments

Payments are identified via two methods:

1. Stablecoin flows to known merchant services.
2. Stablecoin flows to wallets exhibiting merchant-like or intermediary-like behavior. For example, if Wallet B routinely receives small-value transfers (e.g., approximately $50) from numerous independent personal wallets, it is flagged as likely selling goods or services (or acting as a crypto intermediary making and receiving payment).

## Geographic attribution

Geographic attribution is handled via two approaches:

1. Chainalysis GeoSignals for wallets with direct location indicators.
2. Proportional allocation based on economic activity linked to services (e.g., exchange inflows as sale dispositions) for wallets that lack a reliable geo-signal. This is the same methodology used in Chainalysis's Geography of Cryptocurrency Report.

### A note on taxable activity

When we reference "taxable activity" throughout this report, we do not account for the tax rates of any country or the rules of some countries that can exempt certain types of transactions or certain income from taxation. Such rules tend not to be the global norm, and when they do exist, they have limitations on their scope. Blockchain data are often relevant to determining when these limitations on exemption apply.

We recognize that some aspects of our methodology have the effect of understating taxable income. Examples include excluding consideration of activity outside of the six chosen blockchains, off-chain (CEX) gains, mining outside of Bitcoin mining, liquidity provision on trading DEXs, and non-stablecoin coin transfers involving merchant services and P2P activity. Use of average cost basis (ACB) accounting method in lieu of a FIFO accounting method can also understate taxable income in markets with rising prices over time. However, the point of this report is not to achieve an elusive level of mathematical exactness as it relates to measuring on-chain taxable activity. Rather it's to reinforce the points made in the conclusion relating the relevance of blockchain data, crypto activity touching almost all countries around the globe, and how both relate to information reporting reforms.

Chainalysis

# Building trust in blockchains

## About Chainalysis

Chainalysis is the blockchain data platform, making it easy to connect the movement of digital assets to real-world services. Organizations in the public and private sectors use our solutions to prevent hacks and fraud, investigate illicit activity, manage risk exposure, and develop innovative market solutions. Our mission is to build trust in blockchains, blending safety and security with a commitment to growth and innovation.


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